

**BEFORE THE
FEDERAL MARITIME COMMISSION**

Docket No. 17-07

**PORT ELIZABETH TERMINAL & WAREHOUSE CORP.
COMPLAINANT**

v.

**THE PORT AUTHORITY OF NEW YORK AND NEW JERSEY
RESPONDENT**

**RESPONDENT'S BRIEF IN REPLY TO COMPLAINANT'S APPEAL OF THE MARCH
25, 2019 INITIAL DECISION OF THE HONORABLE ERIN M. WIRTH, A.L.J.**

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Table of Contents

	Page(s)
Reply to Request for Oral Argument	1
Procedural History	1
Statement of Relevant Facts.....	3
A. The PETW Agreement	3
B. The PNCT Agreement.....	4
C. The Columbia Space Permit.....	7
D. The FAPS Agreement	7
E. PETW's arrears	8
F. The Notice of Termination of buildings 201 and 202	9
G. The Port Authority files a landlord/tenant action in the Superior Court of New Jersey to evict PETW from buildings 201 and 202.....	10
H. The warehouses at Panama Street, Export Street, Marlin Street, and Aruba Street.....	12
Argument	13
Standard of Review.....	13
Point I: The ALJ correctly found that PETW could not establish a <i>prima facie</i> case of unreasonable preference or prejudice.....	13
A. The ALJ properly considered that the Port Authority's leasing decisions were justified by legitimate transportation factors.	15
B. The ALJ was correct in considering the Commission's practice of according deference to public authorities in the context of the Port Authority's leasing decisions.....	19
Point II: It was appropriate for the ALJ to consider the deposition testimony of the Port Authority designated representative in conjunction with other relevant evidence.....	20
Point III: The ALJ's analysis was not flawed.....	23
A. PETW's claim that the ALJ improperly relied upon the June 15, 2011 article because it constitutes hearsay is without merit.	23
i. The Commission's rules of practice permit the admission of hearsay evidence.....	24
ii. PETW failed to preserve its hearsay objections and cannot raise such the objection in this appeal.....	25

B. PETW's argument that the ALJ failed to give appropriate weight to PETW's claim that the need to vacate several buildings in the ports contributed to its financial troubles is not supported by the competent evidence.....	26
C. PETW's argument that the ALJ ignored PETW's claim that the Port Authority refused to deal or negotiate with PETW should not be considered because is without merit.	27
Point IV: The ALJ was correct in concluding that there is not sufficient evidence to show that the Port Authority's actions were the proximate cause of PETW's alleged injuries.	28
Point V: PETW's argument that its claims are timely is irrelevant for purposes of this appeal.....	30
Point VI: PETW's request for an adverse inference is without merit.	31
Conclusion	32

Table of Authorities

Cases	Pages(s)
<i>Anderson v. U.S.</i> , 799 F. Supp. 1198 (CIT 1992).....	24
<i>Ceres Marine Terminals, Inc. v. Maryland Port Administration</i> , F.M.C. Docket No. 94-01, 1997 WL 35281266 (F.M.C. Oct. 10, 1997)	14, 19, 28
<i>Ceres Marine Terminals, Inc. v. Maryland Port Administration</i> , F.M.C. Docket No. 94-01, 2001 WL 1085428 (F.M.C. Aug. 15, 2001)	16
<i>Distribution Services, Ltd. v. Trans-Pacific Freight Conf. of Japan</i> , F.M.C. Docket No. 86-12, 1988 WL 340659 (F.M.C. Jan. 6, 1988).....	15
<i>Envirex, Inc. v. China Ocean Shipping Company</i> , F.M.C. Docket No. 91-05, 1993 WL 128295 (F.M.C. March 23, 1993).....	24
<i>EuroUSA Shipping, Inc., Tober Group, Inc., and Container Innovations, Inc. – Possible Violations of Section 10 of the Shipping Act of 1984</i> , F.M.C. Docket No. 06-06, 2008 WL 7149852 (F.M.C. Dec. 18, 2008).....	24
<i>Guantanamo Cigar Co. v. Corporation Habanos, S.A.</i> , 263 F.R.D. 1 (D.D.C. 2009).....	32
<i>Kawasaki Kisen Kaisha, Ltd. v. The Port Auth. of N.Y. and N.J.</i> , F.M.C. Docket No. 11-12, 2014 WL 7328475 (F.M.C. Nov. 20, 2014)	13
<i>Keepers, Inc. v. City of Milford</i> , 807 F.3d 24 (2d Cir. 2015).....	21
<i>Maher Terminals, LLC v. The Port Authority of New York and New Jersey</i> , F.M.C. Docket No. 08-03, 2014 WL 5316328 (F.M.C. April 25, 2014).....	16
<i>Maher Terminals, LLC v. The Port Authority of New York and New Jersey</i> , F.M.C. Docket No. 08-03, 2014 WL 7328474 (F.M.C. Dec. 17, 2014).....	14, 15, 16
<i>Maher Terminals, LLC v. The Port Authority of New York and New Jersey</i> , F.M.C. Docket No. 08-03, 2014 WL 9966245 (F.M.C. Dec. 17, 2014).....	15
<i>Maher Terminals, LLC v. The Port Authority of New York and New Jersey</i> , F.M.C. Docket No. 12-02, 2015 WL 435475 (F.M.C. Jan. 30, 2015).....	16
<i>Maher Terminals v. The Port Auth. Of N.Y. and New Jersey</i> , F.M.C. Docket No. 12-02, 2016 WL 6441149 (F.M.C. Oct. 26, 2016)	15

<i>Pacific Champion Express Co., Ltd. – Possible Violations of Sections 10(b)(1) of the Shipping act of 1984,</i> F.M.C. Docket No. 99-02, 1999 WL 569391 (F.M.C. July 8, 1999)	24
<i>Petchem, Inc. v. Canaveral Port Authority, et al.</i> F.M.C. Docket No. 84-28, 1986 WL 170038 (F.M.C. March 14, 1993).....	19
<i>U.S. ex rel. Pogue v. Diabetes Treatment Centers of America, Inc.,</i> 235 F.R.D. 521 (D.D.C. 2006).....	32
<i>River Parishes Co., Inc. v. Ormet Primary Aluminum Corp.,</i> F.M.C. Docket No. 96-06, 1999 WL 125991 (F.M.C. Feb. 3, 1999).....	14
<i>S. Wine & Spirits of Am., Inc. v. Div. of Alcohol & Tobacco Control,</i> 731 F.3d 799 (8th Cir. 2013)	20
<i>S.E.C. v. Thomas,</i> 116 F.R.D. 230 (D. Utah 1987)	32
<i>Seacon Terminals, Inc. v. The Port of Seattle,</i> F.M.C. Docket No. 90-16, 1993 WL 197325 (F.M.C. April 14, 1993).....	16, 19
<i>Sea-Land Service, Inc. – Possible Violations of Sections 10(b)(4) and 19(d) of the Shipping act of 1984,</i> F.M.C. Docket No. 98-06, 2000 WL 722273 (F.M.C. May 3, 2000).....	24
<i>Snapp v. United Transportation Union,</i> 889 F.3d 1088 (9th Cir. 2018), <i>cert. denied sub nom., Snapp v. Burlington N. Santa Fe Ry. Co.</i> , 139 S. Ct. 817 (2019).....	20
<i>U.S. v. Burton,</i> 126 F.3d 666 (5th Cir. 1997)	25
<i>U.S. v. Gomez-Norena,</i> 908 F.2d 497 (9th Cir. 1990)	25
<i>U.S. v. Iglesias,</i> 535 F.3d 150 (3d Cir. 2008).....	25
<i>U.S. v. Johnson,</i> 628 Fed. App'x 124 (3d Cir. 2015).....	25
<i>U.S. v. Williams,</i> 264 F.3d 561 (5th Cir. 2001)	25
<i>United States v. Kellogg Brown & Root Servs., Inc.,</i> 284 F.R.D. 22 (D.D.C. 2012).....	31

<i>Vehicle Mkt. Research, Inc. v. Mitchell Int'l, Inc.</i> , 839 F.3d 1251 (10th Cir. 2016)	21
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Statutes

5 U.S.C. § 556(d)	21
46 U.S.C. § 41106(2)	13
<i>Shipping Act of 1984</i>	2, 14, 23

Other Authorities

46 C.F.R. § 502.227(a)(6)	13
7 James Wm. Moore, et al., <i>Moore's Federal Practice</i> § 30.25[3] (3d ed. 2016)	20

Reply to Request for Oral Argument

The Port Authority of New York and New Jersey (the “Port Authority”) respectfully submits that Port Elizabeth Terminal & Warehouse’s (“PETW”) request for oral argument of the March 25, 2019 Initial Decision (the “Initial Decision”) of the Honorable Erin M. Wirth, Administrative Law Judge (the “ALJ”) should be denied because there is no need for oral argument based on the issues raised by PETW in this appeal.

Procedural History

On July 26, 2017, PETW filed a complaint with the Federal Maritime Commission (the “Commission”) alleging the Port Authority violated sections 41106(2), 41106(3), and 41102(c) of the Shipping Act. (Initial Decision at p. 2, RX¹ 1-14). Specifically, PETW alleges the Port Authority: (1) gave undue or unreasonable preference or advantage to other entities or imposed any undue or unreasonable prejudice or disadvantage on PETW; (2) unreasonably refused to deal or negotiate with PETW, and (3) failed to establish, observe, and enforce just and reasonable regulations and practices. (RX 1-14).

On August 17, 2017, the Port Authority answered and interposed various affirmative defenses, including failure to state a claim, waiver and estoppel, statute of limitations, and that PETW materially breached its obligations under the lease agreement. (Initial Decision at p. 2, RX 15-29).

On January 12, 2018, the Port Authority moved to dismiss PETW’s claims for (1) unreasonable refusal to deal or negotiate, (2) failing to establish, observe, and enforce just and reasonable regulations and practices, and (3) reparations. (RX 1133). The Port Authority argued

¹ Refers to the Port Authority’s August 29, 2018 Appendix in support of its proposed findings of fact and conclusions of law.

that PETW's claim for reparations was barred by the three-year statute of limitations, and their second and third causes of action failed to state a claim upon which relief could be granted. (Initial Decision at p. 2). The ALJ agreed and issued her initial decision granting the Port Authority's motion to partially dismiss PETW's complaint (the "April 17, 2018 Decision"). (RX 1133-1148, Initial Decision at p. 2). In the April 17, 2018 Decision, the ALJ found that "the Shipping Act's statute of limitations bars reparations for the complaint, although PETW may seek a cease and desist order." (RX 1134). The ALJ also found that "PETW's complaint does not meet the *Iqbal/Twombly* pleading standard for claims of unreasonable refusal to deal or negotiate and for failing to establish, observe, and enforce just and reasonable regulations and practices." (RX 1134). "Accordingly, the Port Authority's motion seeking partial dismissal is granted." (RX 1134). On May 8, 2018, PETW appealed the April 17, 2018 Decision, which the Port Authority opposed and has yet to be decided by the Commission. (Initial Decision at p. 2).

On March 25, 2019, the ALJ issued the Initial Decision. In it, the *ALJ addressed PETW's only remaining allegation "that non-party Port Newark Container Terminal ("PNCT") received an unreasonable preference or advantage or that PETW received an undue or unreasonable prejudice or disadvantage, in violation of the Shipping Act."* (emphasis added) (Initial Decision at p. 1). On April 16, 2019, PETW appealed the Initial Decision and raised unrelated arguments in support of claims not addressed in the Initial Decision because they were previously dismissed with prejudice and are the subject of a separate appeal that PETW filed, which has yet to be decided. These arguments are improper and should not be considered by the Commission in this appeal.

Statement of Relevant Facts

In the Initial Decision, the ALJ made the following findings of fact based upon the competent evidence submitted by the parties.²

A. The PETW Agreement

On November 1, 2009, PETW and the Port Authority entered into a lease agreement, Lease No. LPN-297 (the “PETW Agreement”), pursuant to which the Port Authority leased to PETW certain premises in Port Newark, which included building 201 on Export Street and building 202 on Clipper Street. (Initial Decision at p. 6-7, RX 707-839). Pursuant to the PETW Agreement, the letting of buildings 201 and 202 commenced on November 1, 2009 with a termination date of October 31, 2019 unless terminated sooner by either party, without cause, with one year’s written notice. (Initial Decision at p. 6, RX 770).

Section 24 of the PETW Agreement provides that PETW’s failure to timely pay its rents, or make any other payments required under the PETW Agreement, constitutes an event of default. (Initial Decision at p. 7, RX 754).

The PETW Agreement did not require PETW to make any investments. (Initial Decision at p. 7, RX 707-839). The PETW Agreement did not require PETW to construct any improvements on the leased premises. (Initial Decision at p. 7, RX 707-839). The PETW Agreement did not impose upon PETW any minimum throughput requirements. (Initial Decision at p. 7, RX 707-839). The PETW Agreement did not require PETW to provide any terminal guarantees to the Port Authority. (Initial Decision at p. 7, RX 707-839).

² Statements that do not cite to the Initial Decision are not part of the ALJ’s findings of fact, but are supported by the competent evidence contained in the Port Authority’s August 29, 2018 Appendix.

B. The PNCT Agreement

PNCT's business is to "[d]ischarge and load ships and deliver cargo to trucking companies." (RX 308). On June 14, 2011, PNCT and the Port Authority entered into a lease agreement, Lease No. L-PN-264 (the "PNCT Agreement"). (Initial Decision p. 7-9, RX 840-1050). Pursuant to the PNCT Agreement, PNCT was required to invest an aggregate minimum of \$500 million "for the construction of capital improvements and acquisition and installation or placement of capital fixtures, equipment or other capital items at the Premises." (Initial Decision at p. 7, RX 890-91). By the time the PNCT Agreement was signed, PNCT represented to the Port Authority that it intended to invest "Six Hundred Eighteen Million Dollars and No Cents (\$618,000,000.00) at and in the Premises in the following amounts and toward the following purposes: Site - \$130 million, Wharf - \$41 million, Buildings - \$11 million, Technology - \$16 million, and Equipment - \$420 million." (Initial Decision at p. 7, RX 891).

The PNCT Agreement defines the term "Throughput Threshold Number" as "one hundred forty thousand nine hundred and sixty-eight (140,968) Qualified Containers." (Initial Decision at p. 7, RX 862). PNCT is required to increase the throughput threshold number by "(1) one thousand seven hundred and five (1,705) Qualified Containers per acre upon the Completion Date with respect to each acre of each of the Development Parcels or any other property added to the Premises that is or becomes contiguous with the Existing Terminal Facility or the Development Parcels, completed by Lessee and (2) eight hundred (800) Qualified Containers per acre upon the Completion Date with respect to each acre of the Starboard Street Property and the Waterfront Shimizaki Property completed by Lessee" (Initial Decision at p. 8, RX 862).

The PNCT Agreement defines the term "Terminal Guarantee Number" as "the number of Qualified Containers calculated by multiplying the number of acres comprising the Existing

Terminal Facility, as increased by each of the Development Parcels or any other property added to the Premises that is or becomes contiguous with the Existing Terminal Facility or the Development Parcels upon the Completion Date for each such Development Parcel or other property (and for so long as each such Development Parcel or other property is included in the Premises), during the applicable Lease Year by 2500 [Qualified Containers]. Solely for the purposes of calculating Guarantee Rental as specified in Section 56 of this Agreement, prior to the Rail Fly-over Completion Date, the calculation of the Terminal Guarantee Number shall not include any acres comprising the Phase 1 Development Parcel.” (Initial Decision at p. 8, RX 862).

Section 56 of the PNCT Agreement contains the terminal guarantees. (Initial Decision at p. 8, RX 954). The terminal guarantees of the PNCT Agreement provide that “in the event that the number of Qualified Containers loaded onto or discharged from vessels berthing at the Premises during any such Lease Year shall not exceed the Terminal Guarantee Number for that Lease Year, Lessee shall pay to the Port Authority a Guaranteed Rental equal to the product obtained by multiplying (1) the difference between the Terminal Guarantee Number for that Lease Year and the actual number of Qualified Containers loaded onto or discharged from vessels berthing at the premises during that Lease Year by (2) the Tier 1 Rental Rate in effect on the last day of that Lease Year pursuant to the provisions hereof. Any Guaranteed Rental owed under this Section shall be paid by Lessee to the Port Authority on the twentieth (20th) day of the month following the last month of the applicable Lease Year.” (Initial Decision at p. 8, RX 954).

The PNCT Agreement required the Port Authority to deliver possession of certain parcels of land in Port Newark free of all tenants and occupants (the “Added Parcels”) to PNCT. (Initial Decision at p. 8, RX 868). The Added Parcels would be delivered to PNCT in four phases. (Initial Decision at p. 8, RX 850, RX 857). Phase 3 required the Port Authority to deliver to PNCT the

parcels of land where buildings 201 and 202 were located, which were being leased to PETW at the time. (Initial Decision at p. 8, RX 865, RX 980). PNCT, in turn, was required to “develop and construct improvements on the Added Parcels for use as a Marine Container Terminal Facility . . . in accordance with plans and specifications approved by the Port Authority.” (Initial Decision at p. 8, RX 879).

Pursuant to the PNCT Agreement, “[i]t is the understanding of the parties hereto that a significant portion of the Lessee’s intended capital expenditures shall relate to the Development Parcels and other Added Parcels as part of the Premises and that the timing of such capital expenditures related to such Added Parcels is dependent upon the delivery of such Added Parcels by the Port Authority by the dates projected in Section 3 hereof.” (Initial Decision at p. 9, RX 891).

In order for the Port Authority to deliver possession of the Added Parcels to PNCT in a timely manner, the Port Authority agreed “that it shall use commercially reasonable efforts to cause the current tenants at each of the Added Parcels to comply with the applicable provisions in their lease agreements with respect to vacation and surrender of the relevant Added Parcel [and] not extend or renew any leases of the current tenants at each of the Added Parcels” (Initial Decision at p. 9, RX 868).

The expansion of PNCT’s facility in Port Newark was publicly announced shortly after the parties signed the PNCT Agreement. (Initial Decision at p. 9, RX 1062-1063). According to a June 15, 2011 article titled “Port Newark terminal lease deal to double volume,” the “lease deal between the Port Authority of New York and New Jersey and Port Newark Container Terminal, or PNCT, calls for the company to secure \$500 million in private investment intended to transform its facility on Newark Bay into a larger, more efficient state-of-the-art terminal, which in turn

would help accommodate the increased container volume.” (Initial Decision at p. 9, RX 1062-1063). The June 2011 article notes that the benefits of PNCT’s investment will include the “creation of 1,150 jobs, including 350 construction jobs, resulting in \$88 million in annual wages and \$630 million in regional economic activity.” (Initial Decision at p. 9, RX 1062).

C. The Columbia Space Permit

Columbia Container Services, LLC (“Columbia”) “is the equipment repair and storage arm of the Columbia Group of Companies.” (Initial Decision at p. 10, RX 1290-1291). The Port Authority and Columbia entered into a space permit agreement, Permit No. MNS-341 (the “Columbia Space Permit”), effective as of January 1, 2012. (Initial Decision at p. 10, RX 1154-1187). The provisions of the Columbia Space Permit allowed either the Port Authority or Columbia to revoke the permit without cause upon 30 days’ notice. (Initial Decision at p. 10, RX 1180).

D. The FAPS Agreement

The Port Authority and Foreign Auto Preparation Services (“FAPS”) entered into a lease agreement, Lease No. LPN-309 (the “FAPS Agreement”), effective as of October 1, 2010. (Initial Decision at p. 10, RX 1188-1290). The FAPS Agreement required FAPS to pay throughput rental fees to the Port Authority for every vehicle handled by FAPS. (Initial Decision at p. 10, RX 1197). The FAPS Agreement gave the Port Authority “the right, on ninety (90) days’ notice, to recapture an aggregate of three (3) acres of the [leased] Premises in any sixty (60) month period of the Term for the purpose of facilitating the efficient movement of vehicles and cargo in and around the Facility, for the purpose of enhancing ingress and egress to adjacent leaseholds and public berths” (Initial Decision at p. 10, RX 1245-46).

E. PETW's arrears

PETW began falling behind on its monthly rent payments under the PETW Agreement as of August 2014. (Initial Decision at p. 10, RX 365-367, RX 696). PETW failed to pay the rents due under the PETW Agreement for the months of August 2014 and September 2014. (Initial Decision at p. 10, RX 696). As of February 5, 2015, PETW owed the Port Authority a total of \$647,103.17. (Initial Decision at p. 10, RX 696).

In an effort to aid PETW, on February 5, 2015, the Port Authority and PETW entered into a payback agreement. (Initial Decision at p. 10, RX 696). In the payback agreement, PETW acknowledged that it "has failed to pay its August and September 2014 monthly rents for Lease No. LPN-297, totaling \$401,560.45; September 2014 monthly rent for Permit No. MNS-330, totaling \$166,617, as well as retro billing for Permit No. MNS-339 totaling \$15,915.12." (Initial Decision at p. 11, RX 696). PETW also acknowledged that the total balance due as of February 5, 2015 was \$647,103.17. (Initial Decision at p. 10, RX 696). The payback agreement was signed by Patrick Wynne in his capacity as PETW's president and Robert W. Evans on behalf of the Port Authority. (RX 364, RX 696).

In order to allow PETW to pay back its arrears, the Port Authority authorized "a six-month payback schedule, in which PETW will make 13 bi-weekly payments of \$50,923.73, including 8.5% interest charges, totaling \$662,008.49." (Initial Decision at p. 11, RX 696). PETW failed to pay its arrears pursuant to the terms set forth in the February 5, 2015 payback agreement. (Initial Decision at p. 11, RX 700). By March 16, 2016, PETW's arrearages ballooned to \$1,783,155.24 in unpaid rents and other charges. (Initial Decision at p. 11, RX 700).

In an email dated March 16, 2016, PETW was advised that its "account remains severely delinquent and continues to draw negative attention within the Port Authority. To avoid this being

escalated any further, a substantial payment must be made immediately.” (Initial Decision at p. 11, RX 700). PETW failed to make any payments. (Initial Decision at p. 11, RX 1066-1072).

F. The Notice of Termination of buildings 201 and 202

As buildings 201 and 202 were part of the Added Parcels to be delivered to PNCT free of all occupants and tenants, on April 19, 2016, the Port Authority served upon PETW a Notice of Termination pursuant to section 41(a) of the PETW Agreement (the “Notice of Termination”). (Initial Decision at p. 14, RX 698-99). In the Notice of Termination, the Port Authority advised PETW that it was exercising its rights to terminate the letting of buildings 201 and 202 effective May 1, 2017, with the last day of beneficial occupancy being April 30, 2017. (Initial Decision at p. 14, RX 698).

Following service of the Notice of Termination, representatives from the Port Authority and PETW met on numerous occasions, including on October 20, 2016, November 30, 2016, March 28, 2017, and June 13, 2017 to deal, negotiate, and discuss PETW’s proposals to pay back its outstanding arrears and find alternative warehousing space. (Initial Decision at p. 11, RX 478-480, RX 701-703, RX 1073, RX 1151).

The parties also exchanged proposals for additional space for PETW in the ports district. (Initial Decision at p. 11, RX 485-486, RX 704-705, RX 1150). For instance, in February 2017, PETW submitted a repayment proposal whereby PETW would make an upfront payment of \$1.25 million, which was less than half of the amount that PETW owed the Port Authority at the time, while the rest would be paid back in installments; the proposal also required the Port Authority to lease to PETW multiple buildings at a rate of \$0.50 per square foot. (Initial Decision at p. 11, RX 1150). The offer was rejected as it required the Port Authority to wait over ten years to be paid in full and it required the Port Authority to lease multiple buildings to PETW, which presented “a

significant business risk to the Port Authority based in the current financial condition of the company.” (Initial Decision at p. 11-12, RX 1150-1151). Furthermore, the Port Authority became aware that PETW had also developed a substantial arrearage with PNCT. (Initial Decision at p. 12, RX 1064). Mr. Wynne confirmed this during his deposition when he stated that PETW owed PNCT more than \$500,000. (RX 406-407, RX 411).

In an internal email dated April 21, 2017, the Port Authority assessed PETW’s situation as follows: “While PETW has proposed multiple options to pay back the arrearage over time, initiating court action may provide additional leverage and does not preclude advancing settlement discussions focused on resolving the arrearage issue and potentially maintaining some operating footprint on Port property, under certain conditions.” (Initial Decision at p. 12, RX 1065).

G. The Port Authority files a landlord/tenant action in the Superior Court of New Jersey to evict PETW from buildings 201 and 202

On or around March 29, 2017, the Port Authority learned that PETW would not vacate buildings 201 and 202 despite having over one year’s written notice. (RX 1064, RX 1151). On May 1, 2017, the Port Authority drew down \$655,000 from PETW’s letters of credit and applied this amount towards PETW’s arrears. (Initial Decision at p. 12, RX 1296).

On May 4, 2017, the Port Authority commenced a landlord/tenant action for a judgment of possession of buildings 201 and 202 in the Superior Court of New Jersey. (Initial Decision at p. 14, RX 1074-1079). On July 21, 2017, four days before the trial date of the landlord/tenant action, PETW filed the present action with the Commission. (Initial Decision at p. 14, RX 1-14). On July 25, 2017, the parties appeared before the Hon. Dennis F. Carey, III, for the trial of the landlord/tenant eviction action, which was adjourned to July 26, 2017, in order for the trial court to consider the merits of PETW’s order to show cause to stay the eviction action pending resolution

of the Commission proceeding. (Initial Decision at p. 14, RX 1080-1091). On July 26, 2017, Judge Carey denied PETW's order to show cause. (RX 1108-1111).

After both sides had the opportunity to be heard, Judge Carey found that as a matter of law, the Port Authority complied with the provisions of the PETW Agreement and entered a judgment of possession in favor of the Port Authority. (Initial Decision at p. 14, RX 1123-1126). Judge Carey noted that PETW's filing of the Commission action was merely a ploy to delay the eviction process. (Initial Decision at p. 14, RX 1109-1110).

PETW proceeded to file an emergent application with the Appellate Division for a stay, which was denied by the Appellate Division on August 7, 2017. (Initial Decision at p. 14, RX 1128-1129). In its August 7, 2017 decision, the Appellate Division found that "[a]lthough a prior application had been made to the FMC, *ibid.*, the trial court reasonably found defendant's filing of a complaint with the FMC was an inappropriate tactic to delay eviction proceedings." (Initial Decision at p. 14, RX 1128-1129).

Even after the judgment of possession was entered by Judge Carey, PETW refused to vacate buildings 201 and 202. (Initial Decision at p. 14, RX 416). As a result, on September 18, 2017, a special civil part officer from Essex County personally served the warrant of removal upon Mr. Wynne. (RX 1130-1131). The warrant of removal gave PETW three days to remove all of its belongings from buildings 201 and 202. (RX 1130-1131). In an effort to assist PETW, the Port Authority gave PETW until October 23, 2017 to remove all of its belongings out of buildings 201 and 202. (RX 416).

In September 2017, the Port Authority again offered alternative space to PETW if it paid its arrearage of approximately \$3 million. (Initial Decision at p. 12, RX 704-705). The Port

Authority offered the building located at 150 Pulaski, which PETW had expressed interest in previously. (Initial Decision at p. 12, RX 704).

H. The warehouses at Panama Street, Export Street, Marlin Street, and Aruba Street

PETW obtained possession of warehouse space at 1400 Aruba Street pursuant to a sublease agreement it entered into with Tyler Distribution ("Tyler") on March 1, 2010. (Initial Decision at p. 14, RX 687-695). The sublease of the 1400 Aruba Street building ended on February 28, 2013, and on or about December 31, 2014, PETW vacated the property. (Initial Decision at p. 14, RX 59-60, RX 69-70). At no time did PETW ever enter into any agreement to lease the building at 1400 Aruba Street from the Port Authority. (RX 360).

On or about March 31, 2015, PETW vacated the warehouses at 191 Export Street, 194 Panama Street, and 199 Panama Street. (Initial Decision at p. 15, RX 346-347, RX 353, RX 506, RX 697, RX 683). PETW vacated the buildings at 194 Panama Street and 199 Panama Street because the letting of those buildings terminated on July 31, 2012 pursuant to the PETW Agreement. (Initial Decision at p. 15, RX 346-347, RX 644-645, RX 697). PETW vacated the building at 191 Export Street because the letting of that building terminated on July 31, 2013 pursuant to a different lease agreement that the Port Authority and PETW had entered into on July 31, 2008, titled LPN-286. (Initial Decision at p. 15, RX 352-354, RX 644- 645, RX 697).

On or about November 30, 2015, PETW vacated the warehouse at 292 Marlin Street after giving 30 days' notice of its intent to terminate the month-to-month lease for this building. (Initial Decision at p. 15, RX 325-326, RX 686).

Argument

As explained in detail below, the ALJ correctly determined that the Port Authority did not give any undue or unreasonable preference or advantage to other entities or that it imposed any undue or unreasonable prejudice or disadvantage upon PETW. (Initial Decision at p. 37).

This brief will be organized as follows: Point I explains why the ALJ was correct in finding that PETW could not establish a *prima facie* case of unreasonable preference or prejudice. Points II-V address each of the arguments that PETW raises in points A-D of its appeal. Point VI explains why PETW's request for an adverse inference was properly denied by the ALJ.

Standard of Review

In reviewing an initial decision, the Commission "will have all the powers which it would have in making the initial decision." 46 C.F.R. § 502.227(a)(6). "In other words, the Commission reviews an ALJ's initial decision *de novo* and may enter its own findings." *Kawasaki Kisen Kaisha, Ltd. v. The Port Auth. of N.Y. and N.J.*, F.M.C Docket No. 11-12, 2014 WL 7328475, at *6 (F.M.C. Nov. 20, 2014). As such, the Port Authority respectfully submits that the standard of review of the ALJ's Initial Decision is *de novo*.

Point I

The ALJ correctly found that PETW could not establish a *prima facie* case of unreasonable preference or prejudice.

The ALJ correctly determined that PETW could not establish a *prima facie* case of unreasonable preference or prejudice because the evidence failed to demonstrate that the Port Authority gave any undue or unreasonable preference or advantage to other entities or imposed any undue or unreasonable prejudice or disadvantage upon PETW. (Initial Decision at p. 37).

46 U.S.C. § 41106(2) provides that "a marine terminal operator may not give any undue or unreasonable preference or advantage or impose any undue or unreasonable prejudice or

disadvantage with respect to any person; . . .” The complainant “has the burden of proving, by a preponderance of the evidence, that the . . . [respondent] violated the Shipping Act, and this burden of persuasion does not shift.” *Maheer Terminals, LLC v. The Port Authority of New York and New Jersey*, F.M.C. Docket No. 08-03, 2014 WL 7328474, at *14 (F.M.C. Dec. 17, 2014) (citations omitted).

In order to sustain an unreasonable preference or prejudice claim, complainant “bears the [ultimate] burden of persuading the [Commission] that the practice [complained of] . . . is unreasonable, and that it similarly constitutes an unreasonable preference or prejudice.” *River Parishes Co., Inc. v. Ormet Primary Aluminum Corp.*, F.M.C. Docket No. 96-06, 1999 WL 125991, at *23 (F.M.C. Feb. 3, 1999) (citations omitted). If the complainant makes a *prima facie* case, the burden shifts to the respondent, who must show that the difference in treatment is based on legitimate transportation factors. *Maheer Terminals, LLC*, 2014 WL 7328474, at *15 (citations omitted). Nonetheless, “it is the burden of production that shifts, not the burden of persuasion,” meaning that although the respondent may in some circumstances bear the burden of adducing evidence justifying its conduct, the complainant bears the ultimate burden of proving that the respondent acted unreasonably. *Id.* at *14-15.

To establish a *prima facie* claim for unreasonable preference or prejudice, a complainant must show “that (1) two parties are similarly situated or in a competitive relationship, (2) the parties were accorded different treatment, (3) the unequal treatment is not justified by differences in transportation factors, and (4) the resulting prejudice or disadvantage is the proximate cause of injury.” *Ceres Marine Terminals, Inc. v. Maryland Port Administration*, F.M.C. Docket No. 94-01, 1997 WL 35281266, at *31 (F.M.C. Oct. 10, 1997) (citing *Distribution Services, Ltd. v. Trans-*

Pacific Freight Conf. of Japan, F.M.C. Docket No. 86-12, 1988 WL 340659, at *5 (F.M.C. Jan. 6, 1988)); *Maier Terminals, LLC*, 2014 WL 7328474, at *15 (citations omitted).

Here, the ALJ correctly concluded that “the evidence does not demonstrate that the Port Authority gave any undue or unreasonable preference or advantage to other entities nor does the evidence demonstrate that the Port Authority imposed any undue or unreasonable prejudice or disadvantage on PETW.” (Initial Decision at p. 37). In reaching this conclusion, the ALJ properly considered: (1) the fact that “the Port Authority’s leasing decisions were justified by legitimate transportation factors and based upon an analysis of the benefits and risks associated with the various agreements and proposals;” and, (2) “the Commission’s practice of according deference to public transport authorities, especially in the context of leasing decisions.” (Initial Decision at p. 37).

A. The ALJ properly considered that the Port Authority’s leasing decisions were justified by legitimate transportation factors.

Some of the relevant transportation factors that may be considered by the Commission in deciding the merits of a claim of undue or unreasonable prejudice or disadvantage include: “market conditions, available locations and facilities, and the nature and character of potential lessees.” *Maier Terminals v. The Port Auth. Of N.Y. and New Jersey*, F.M.C. Docket No. 12-02, 2016 WL 6441149, at *4 (F.M.C. Oct. 26, 2016).

When negotiating a lease agreement, a port can take into consideration the potential benefits that will be brought by a tenant in deciding to offer that tenant preferential lease terms. *Maier Terminals, LLC v. The Port Authority of New York and New Jersey*, F.M.C. Docket No. 08-03, 2014 WL 9966245, at *17-19 (F.M.C. Dec. 17, 2014). Differences in the identity and status of a lessee have a real and tangible impact on the lease negotiation process. *Id.* at *19.

For instance, “ports need not apply the same rate to all customers and may consider many factors relevant to negotiating a lease.” *Maier Terminals, LLC*, 2014 WL 7328474, at *15 (citations omitted). In addition, it is well settled that a port does not have a duty to provide leases with identical lease terms. *Id.* at *42 n. 12; *Maier Terminals, LLC v. The Port Authority of New York and New Jersey*, F.M.C. Docket No. 12-02, 2015 WL 435475, at *17 (F.M.C. Jan. 30, 2015) (noting that “[t]he Commission specifically stated that ‘neither *Ceres I* nor *Ceres II* states that a port has an absolute continuing duty to provide all lessees with identical lease terms[.]’”).

In fact, the Commission “is not responsible for ensuring that everybody makes a good deal –just that the commercial environment is not hampered by unreasonable or unjustly discriminatory practices.” *Ceres Marine Terminals, Inc. v. Maryland Port Administration*, F.M.C. Docket No. 94-01, 2001 WL 1085428, at *23 (F.M.C. Aug. 15, 2001). The reason for this is that “it would be impossible for the Port to insure that all of its tenants are identically situated, since each parcel and each operator has geographical and commercial idiosyncrasies.” *Maier Terminals, LLC v. The Port Authority of New York and New Jersey*, F.M.C. Docket No. 08-03, 2014 WL 5316328, at *32 (F.M.C. April 25, 2014) (quoting *Seacon Terminals, Inc. v. The Port of Seattle*, F.M.C. Docket No. 90-16, 1993 WL 197325, at *20 (F.M.C. April 14, 1993) (internal quotation marks omitted)).

In this case, the evidence submitted demonstrates that there are significant differences in the identity and statuses of PETW, PNCT, FAPS, and Columbia. For instance, the PETW Agreement did not require PETW to make any investments, construct any improvements on the leased premises, make any terminal guarantees, or be subject to minimum throughput requirements. (Initial Decision at p. 27, RX 862, RX 707-839). Whereas the PNCT Agreement required PNCT to:

- Invest a minimum of \$500 million for “construction of capital improvements and acquisition and installation or placement of capital fixtures, equipment or other capital items at the Premises.” (Initial Decision at p. 27, RX 890-91).
- Increase the throughput threshold number by “one thousand seven hundred and five (1,705) Qualified Containers per acre upon the Completion Date with respect to each acre of each of the Development Parcels or any other property added to the Premises” (Initial Decision at p. 27, RX 862).
- Make certain payments to the Port Authority “in the event that the number of Qualified Containers loaded onto or discharged from vessels berthing at the Premises during any such Lease Year shall not exceed the Terminal Guarantee Number for that Lease Year, Lessee” (Initial Decision at p. 27, RX 954).

Unlike the PETW Agreement, the PNCT Agreement would “transform its facility on Newark Bay into a larger, more efficient state-of-the-art terminal, which in turn would help accommodate the increased container volume.” (Initial Decision at p. 28, RX 1062-1063). PNCT’s investment would create “1,150 jobs, including 350 construction jobs, resulting in \$88 million in annual wages and \$630 million in regional economic activity.” (Initial Decision at p. 28, RX 1062-1063).

The ALJ also compared the PETW Agreement with the FAPS Agreement and the Columbia Space Permit. (Initial Decision at p. 9-10, 35-37, RX 1154-1187). The FAPS Agreement imposes several requirements upon FAPS that PETW is not subject to in the PETW Agreement. For instance, the FAPS Agreement requires FAPS to pay throughput rental fees to the Port Authority for every vehicle handled by FAPS. (Initial Decision at p. 36, RX 1197). As another example, the FAPS Agreement gave the Port Authority “the right, on ninety (90) days’ notice, to recapture an aggregate of three (3) acres of the [leased] Premises in any sixty (60) month period of the Term for the purpose of facilitating the efficient movement of vehicles and cargo in and around the Facility, for the purpose of enhancing ingress and egress to adjacent leaseholds and public berths” (Initial Decision at p. 36, RX 1245-46). Based on the above, the ALJ correctly

concluded that “[t]he evidence does not establish that the terms of the FAPS Agreement are unduly preferential to the terms of the PETW Agreement.” (Initial Decision at p. 36).

The Columbia Space Permit did not go into effect until January 1, 2012, which is almost six months after PETW submitted the alleged proposal to build state of the art warehouses. (Initial Decision at p. 36, RX 1154). Unlike the PETW Agreement, the provisions of the Columbia Space Permit allow either the Port Authority or Columbia to revoke the permit without cause upon 30 days’ notice. (RX 1180). Moreover, “[t]he Columbia Space Permit was for a different use that the Port Authority selected for the property after not accepting PETW’ s proposal to utilize the land.” (Initial Decision at p. 36-37, RX 1290). As such, the ALJ’s finding that “[t]he evidence also does not establish that the terms of the Columbia Space Permit are unduly preferential to the terms of the PETW Agreement” was supported by the competent evidence submitted. (Initial Decision at p. 36, RX 1180).

In addition, the PETW Agreement and the PNCT Agreement were entered into at different times. The former was signed on November 1, 2009 and the latter was entered into on June 14, 2011. (RX 707-839, RX 840-1050). As such, the Port Authority’s business circumstances and needs on or around November 1, 2009 were different from those on June 14, 2011. (Initial Decision at p. 34).

The ALJ also took into consideration PETW’s continued arrearages even after the payback agreement, as well as the Port Authority’s legitimate concerns regarding the future viability of PETW’s business. (Initial Decision at p. 10, p. 34, RX 110-113, RX 180, RX 203, RX 210-211, RX 696, RX 700, RX 1065, RX 1150). The ALJ noted that “the Port Authority was considering the most effective land use planning for its limited port facilities.” (Initial Decision at p. 34). This is set forth in the deposition testimony of the Port Authority representative, Sam Ruda, Deputy

Director of Port Department, who stated that when considering to extend or enter into a lease, there are a variety of things the Port Authority considers, including economic factors, “jobs, employment, nexus to marine time activities, such as vessel calls. . . .” and desire for the highest and best use of port space. (Initial Decision at p. 33, RX 53-54).

Based on the above, the ALJ correctly found that “[t]he Port Authority made a business judgment that the PNCT lease, including significant port investments, minimum throughput requirements, and port guarantees, was a better use of land than the lease options offered by PETW, which was in significant arrears. Given the facts presented in this proceeding, that determination was not unreasonable. The evidence indicates that the Port Authority had a reasonable basis for making these leasing decisions based on legitimate transportation factors.” (Initial Decision at p. 35).

Accordingly, the ALJ’s conclusion that PETW “has not established a violation of the third element of *Ceres*, that the unequal treatment is not justified by differences in transportation factors” was supported by the applicable law and competent evidence submitted. (Initial Decision at p. 35).

B. The ALJ was correct in considering the Commission’s practice of according deference to public authorities in the context of the Port Authority’s leasing decisions.

“[I]t is proper to give deference to a port’s discretionary business decisions” because the port is most familiar with the specific business circumstances at hand. *Seacon Terminals, Inc. v. The Port of Seattle*, F.M.C. Docket No. 90-16, 1993 WL 197325, at *19 (F.M.C. April 14, 1993). Therefore, a port’s decisions regarding leases and lease terms are “entitled to a presumption that it is concerned with public and not private interest.” *Id.* (quoting *Petchem, Inc. v. Canaveral Port Authority, et al.*, F.M.C. Docket No. 84-28, 1986 WL 170038, at *17 (F.M.C. March 28, 1986) (internal quotation marks omitted)).

Based on the above, it was proper for the ALJ to give deference to the Port Authority's decision to enter into leases with PETW and PNCT containing different lease terms, and the Port Authority's decision to enter into agreements with FAPS and Columbia "for land that PETW wanted, [because those] differences are based upon different risks presented and benefits received by each entity." (Initial Decision at p. 37).

Point II

It was appropriate for the ALJ to consider the deposition testimony of the Port Authority designated representative in conjunction with other relevant evidence.

In its appeal, PETW first claims (under point A) that the ALJ disregarded the un rebutted testimony of Mr. Ruda and that the Port Authority did not have any facts that would justify the Port Authority's failure to allow PETW to negotiate for property at the ports. (Appeal at p. 4-7). This is incorrect. The ALJ considered the testimony of Mr. Ruda, found that it was relevant, and also viewed it in conjunction with the other competent evidence that was submitted by the parties as part of the record. (Initial Decision at p. 27).

"The testimony of a Rule 30(b)(6) deponent does not absolutely bind the corporation in the sense of a judicial admission, but rather is evidence that, like any other deposition testimony, can be contradicted and used for impeachment purposes." *Snapp v. United Transportation Union*, 889 F.3d 1088 (9th Cir. 2018), *cert. denied sub nom., Snapp v. Burlington N. Santa Fe Ry. Co.*, 139 S. Ct. 817 (2019) (quoting 7 James Wm. Moore, et al., *Moore's Federal Practice* § 30.25[3] (3d ed. 2016) internal quotation marks omitted)); *S. Wine & Spirits of Am., Inc. v. Div. of Alcohol & Tobacco Control*, 731 F.3d 799, 811 (8th Cir. 2013) (finding that "[a] 30(b)(6) witness's legal conclusions are not binding on the party who designated him . . . and a designee's testimony likely does not bind a State in the sense of a judicial admission.").

In fact, the “majority of courts to reach the issue ... treat the testimony of a Rule 30(b)(6) representative as merely an evidentiary admission, and do not give the testimony conclusive effect.” *Vehicle Mkt. Research, Inc. v. Mitchell Int’l, Inc.*, 839 F.3d 1251, 1260 (10th Cir. 2016) (citing *Keepers, Inc. v. City of Milford*, 807 F.3d 24, 34-35 (2d Cir. 2015)).

Moreover, 5 U.S.C. § 556(d) prohibits an administrative law judge to issue an order “except on consideration of the whole record or those parts thereof cited by a party and supported by and in accordance with the reliable, probative, and substantial evidence.” (Initial Decision at p. 4).

Based on the above, it was appropriate for the ALJ to consider the testimony of Mr. Ruda in conjunction with the numerous leases, agreements, emails, deposition testimony, and other relevant evidence, which included:

- The deposition testimony of Patrick J. Wynne, PETW’s president. (Initial Decision 5-15, RX 260-477).
- The terms and conditions of the PETW Agreement. (Initial Decision at p. 6-7, 27-28, RX 707-839).
- The terms and conditions of the PNCT Agreement. (Initial Decision at p. 7-9, 27-28, 33-35, RX 840-1050).
- The terms and conditions of the FAPS Agreement. (Initial Decision at p. 9-10, 35-37, RX 1188-1289).
- The terms and conditions of the Columbia Space Permit. (Initial Decision at p. 9-10, 35-37, RX 1154-1187).
- The payback agreement between the Port Authority and PETW in which PETW acknowledged that it “has failed to pay its August and September 2014 monthly rents for Lease No. LPN-297, totaling \$401,560.45; September 2014 monthly rent for Permit No. MNS-330, totaling \$166,617, as well as retro billing for Permit No. MNS-339 totaling \$15,915.12.” (Initial Decision at p. 10-11, RX 696).
- Documentation relating to PETW’s arrears and the meetings that took place between representatives of the Port Authority and PETW to discuss PETW’s proposals to pay back its arrears and find alternative warehouse space. (Initial Decision at p. 10-11, 28-31, RX 365-367, RX 381, RX 446-447, RX 478-480, RX 485-486, RX 696, RX 700-705, RX 1064-1073, RX 1150-1151).

- Documentation showing that PETW started falling behind on its rent obligations in August 2014, before it was asked by the Port Authority to vacate any of the warehouses at 194 Panama Street, 199 Panama Street, 1400 Aruba Street, 191 Export Street, 292 Marlin Street, 291 Export Street, or 202 Clipper Street. (Initial Decision at p. 10-15, 28-32, RX 696, RX 59-60, RX 69-70, RX 644-645, RX 687-695, RX 697).
- The June 15, 2011 article titled “Port Newark terminal lease deal to double volume” (Initial Decision at p. 9, 28, RX 1062-1063).

Contrary to PETW’s contention, the ALJ took into consideration the factors that Mr. Ruda testified to were considered by the Port Authority in choosing to lease the property to PNCT instead of PETW. (Initial Decision at p. 33). According to Mr. Ruda, when considering to extend or enter into a lease, there are a variety of things the Port Authority considers, including economic factors, “jobs, employment, nexus to marine time activities, such as vessel calls. . . .” and desire for the highest and best use of port space. (Initial Decision at p. 33, RX 53-54). Mr. Ruda further testified that PETW’s operations on the property that was ultimately leased to PNCT did not constitute the highest and best use of port space because PETW did not offer to make any investments, construct any improvements on the leased premises, make any terminal guarantees, or be subject to minimum throughput requirements. (Initial Decision at p. 27, RX 862, RX 707-839). Whereas “the lease that was entered with PNCT contemplated the construction of a modern container terminal facility. As part of that lease, PNCT committed to at least 400 million in capital improvements to effectuate some part of that – the lease contemplates a series of expansion parcels.” (RX 171).

In addition, and as set forth by Mr. Ruda, “there was a big concern . . . about the viability of – or ability [for PETW] to pay us back. We had understanding, not confirmed, that they owed other parties money, one of those parties being an existing tenant of the Port Authority, another party not being a tenant of the Port Authority.” (RX 180).

After considering all the competent evidence contained in the record, the ALJ correctly concluded that “the evidence does not demonstrate that the Port Authority gave any undue or unreasonable preference or advantage to other entities nor does the evidence demonstrate that the Port Authority imposed any undue or unreasonable prejudice or disadvantage on PETW.” (Initial Decision at p. 37). The ALJ also noted that “PETW frequently cited to its own complaint as evidence of facts and rarely cited to the exhibits that it submitted. Citations to allegations are not as persuasive without evidence supporting the allegations. PETW did not cite to the majority of its exhibits, leaving one to wonder why they were submitted.” (Initial Decision at p. 5).

As such, PETW’s claim that the ALJ disregarded the un rebutted testimony of Mr. Ruda is baseless and utterly without merit.

Point III

The ALJ’s analysis was not flawed.

In Point B of its appeal, PETW claims that the ALJ’s analysis demonstrated a failure to adhere to Shipping Act principles. (Appeal at p. 7). PETW proceeds to raise a litany of instances where the ALJ allegedly erred.

A. PETW’s claim that the ALJ improperly relied upon the June 15, 2011 article because it constitutes hearsay is without merit.

PETW first claims that the ALJ improperly relied upon the June 15, 2011 article titled “Port Newark terminal lease deal to double volume” because it constitutes inadmissible hearsay. (Appeal at p. 7, RX 1062-1063). This argument is without merit because (1) the Commission’s rules of practice permit the admission of hearsay evidence so long as it is relevant, material, reliable and probative and not unduly repetitious or cumulative; and, (2) PETW waived the objection because it did not object to the June 15, 2011 article on hearsay grounds. (PETW’s September 14, 2018 response to the Port Authority’s proposed findings of fact at p. 20).

i. The Commission's rules of practice permit the admission of hearsay evidence.

“Both the Administrative Procedure Act, 5 U.S.C. § 556, and the Commission's Rules of Practice and Procedure, 46 C.F.R. § 502.156, permit the admission of hearsay evidence so long as it is relevant, material, reliable and probative and not unduly repetitious or cumulative.” *Envirex, Inc. v. China Ocean Shipping Company*, F.M.C. Docket No. 91-05, 1993 WL 128295, at *8, n. 7 (F.M.C. March 23, 1993) (finding that complainant’s “contention that hearsay is not admissible in Commission proceedings is clearly wrong.”). The admissibility of hearsay evidence is determined “by an inquiry into its reliability and probativeness, and not by strict adherence to a specific test or rule.” *EuroUSA Shipping, Inc., Tober Group, Inc., and Container Innovations, Inc. – Possible Violations of Section 10 of the Shipping Act of 1984*, F.M.C. Docket No. 06-06, 2008 WL 7149852, at *11 (F.M.C. Dec. 18, 2008) (quoting *Anderson v. U.S.*, 799 F. Supp. 1198, 1202 (CIT 1992) (internal quotation marks omitted)).

In fact, “objections based on technical exclusionary rules such as the hearsay rule are largely inappropriate.” *Sea-Land Service, Inc. – Possible Violations of Sections 10(b)(4) and 19(d) of the Shipping act of 1984*, F.M.C. Docket No. 98-06, 2000 WL 722273, at *4 (F.M.C. May 3, 2000); *Pacific Champion Express Co., Ltd. – Possible Violations of Sections 10(b)(1) of the Shipping act of 1984*, F.M.C. Docket No. 99-02, 1999 WL 569391, at *2 (F.M.C. July 8, 1999).

In this case, it was appropriate for the ALJ to rely on the June 15, 2011 article because the numerous benefits of the Port Authority’s lease with PNCT outlined therein were corroborated by the PNCT Agreement and the deposition testimony of Mr. Ruda. As set forth above, the PNCT Agreement required PNCT to invest a minimum of \$500 million for construction of capital improvements and acquisition and installation or placement of capital fixtures, equipment or other

capital items at the premises and increase the throughput threshold number of qualified containers. (RX 862, RX 890-891).

Mr. Ruda testified about the benefits of the PNCT Agreement by stating that “the lease that was entered with PNCT contemplated the construction of a modern container terminal facility. As part of that lease, PNCT committed to at least 400 million in capital improvements to effectuate some part of that – the lease contemplates a series of expansion parcels.” (RX 171).

Therefore, it was appropriate for the ALJ to rely upon the June 15, 2011 because the article is relevant, material, reliable, and probative. Accordingly, PETW’s argument that the ALJ improperly relied upon the June 15, 2011 article is without merit.

ii. PETW failed to preserve its hearsay objections and cannot raise such the objection in this appeal.

“A party challenging the admission of evidence must timely object and state the specific grounds for his objection.” *U.S. v. Gomez-Norena*, 908 F.2d 497, 500 (9th Cir. 1990) (citing Fed. R. Evid. 103(a)(1)). “Thus, a party fails to preserve an evidentiary issue for appeal not only by failing to make a specific objection but also by making the wrong specific objection.” *Id.* (citations omitted); *U.S. v. Iglesias*, 535 F.3d 150, 158 (3d Cir. 2008) (agreeing with and adopted the holding that “a party fails to preserve an evidentiary issue for appeal not only by failing to make a specific objection, . . . but also by making the wrong specific objection.”). The purpose of this rule is to ensure that the trial court has the opportunity to “take testimony, receive argument, or otherwise explore the issue raised. *U.S. v. Williams*, 264 F.3d 561, 575 (5th Cir. 2001) (quoting *U.S. v. Burton*, 126 F.3d 666, 672-73 (5th Cir. 1997) (internal quotation marks omitted)); *U.S. v. Johnson*, 628 Fed. App’x 124, 130 (3d Cir. 2015).

The Port Authority’s proposed finding of fact No. 53 stated: “[a]ccording to a June 15, 2011 article titled ‘Port Newark terminal lease deal to double volume,’ the ‘lease deal between the

Port Authority of New York and New Jersey and Port Newark Container Terminal, or PNCT, calls for the company to secure \$500 million in private investment intended to transform its facility on Newark Bay into a larger, more efficient state-of-the-art terminal, which in turn would help accommodate the increased container volume.” (PETW’s September 14, 2018 response to the Port Authority’s proposed findings of fact at p. 20). The Port Authority’s proposed finding of fact No. 54 stated: “[t]he June 2011 article notes that the benefits of PNCT’s investment will include the ‘creation of 1,150 jobs, including 350 construction jobs, resulting in \$88 million in annual wages and \$630 million in regional economic activity.’” PETW’s September 14, 2018 response to the Port Authority’s proposed findings of fact at p. 20).

PETW’s response to the Port Authority’s proposed findings of fact No. 53 and 54 were: “Denied as irrelevant and object to the use of RX 1062-63 as evidential support for proposition.” (PETW’s September 14, 2018 response to the Port Authority’s proposed findings of fact at p. 20).

As such, PETW clearly failed to preserve its hearsay objections and cannot raise such the objection in this appeal.

B. PETW’s argument that the ALJ failed to give appropriate weight to PETW’s claim that the need to vacate several buildings in the ports contributed to its financial troubles is not supported by the competent evidence.

PETW claims that the ALJ failed “to give appropriate weight to the undisputed fact that PET&W wrote to the PANYNJ in 2017 stating ‘[o]ur company was most significantly impacted by the disruption of business resulting from the need to vacate three Port Authority buildings in Port Newark for terminal expansion, and Building 1400 for sprinkler repairs.’” (Appeal at p. 9). In support thereof, PETW relies upon the testimony of Mr. Wynne, PETW’s president.

The undisputed evidence shows that PETW’s financial troubles began before it was asked to vacate any of the warehouses at 194 Panama Street, 199 Panama Street, 1400 Aruba Street, 191

Export Street, 292 Marlin Street, 291 Export Street, or 202 Clipper Street. (Initial Decision at p. 10-15, 28-32, RX 696, RX 59-60, RX 69-70, RX 644-645, RX 687-695, RX 697).

PETW was in arrears as of August 2014, when it failed to pay its monthly rent obligations under the PETW Agreement. (Initial Decision at p. 10, RX 365-367, RX 696). However, PETW did not move out of the warehouse at 1400 Aruba Street until December 2014. (Initial Decision at p. 14, 32, 37, RX 59-60, RX 69-70). 1400 Aruba Street warehouse was the first warehouse that PETW vacated (Initial Decision at p. 32). PETW's lease for 194 and 199 Panama Street ended on October 12, 2012, and the lease for 191 Export Street ended on July 31, 2013, but the Port Authority allowed PETW to occupy these warehouses as a holdover until March 31, 2015. (Initial Decision at p. 38, RX 346-47, RX 353, RX 506, RX 645, RX 697). The evidence also shows that PETW vacated the building at 292 Marlin Street on its own initiative after giving the Port Authority 30 days' written notice of its intent to terminate the month-to-month letting for this building. (RX 686).

Contrary to PETW's argument, and by Mr. Wynne's own admission, "a good deal of the financial challenges that PETW was facing were caused by Superstorm Sandy, the bad winters, and resulting congestion which dropped productivity and increased costs and chased some customers from using the port." (Initial Decision at p. 38, RX 327). Therefore, PETW's argument that the ALJ failed to give appropriate weight to the above claim is not supported by the competent evidence submitted.

C. PETW's argument that the ALJ ignored PETW's claim that the Port Authority refused to deal or negotiate with PETW should not be considered because is without merit.

PETW claims that the ALJ's conclusions "that justify the Port Authority's failure to allow Port Elizabeth Terminal & Warehouse Corporation to negotiate for the property that was ultimately leased to PNCT conflict with the sworn and un rebutted testimony of the PANYNJ's designated

representative.” (Appeal at p. 22). As set forth above, the ALJ considered the testimony of Mr. Ruda in conjunction with the other competent evidence that was submitted by the parties, which included the numerous leases, agreements, emails, deposition testimony, and the other relevant documentation referenced above. (Initial Decision at p. 27). After considering all the competent evidence contained in the record, the ALJ made its findings of fact and conclusions of law adducing to the entire record, not just the portions of Mr. Ruda’s testimony that PETW cites in its appeal. As such, this claim is likewise without merit.

Point IV

The ALJ was correct in concluding that there is not sufficient evidence to show that the Port Authority’s actions were the proximate cause of PETW’s alleged injuries.

In point C of its appeal, PETW contends that the facts show that the Port Authority’s violations was the proximate cause of PETW’s damages and, as such, the ALJ’s decision on this issue should be rejected. (Appeal at p. 26-28). The Port Authority submits that the ALJ did not err in its finding because PETW failed to meet its burden of establishing that the Port Authority was the proximate cause of its injuries.

For the final element – that the resulting prejudice or disadvantage is the proximate cause of injury – “[t]he complainant has the burden of proving that it was subjected to different treatment and was injured as a result and the respondent has the burden of justifying the difference in treatment based on legitimate transportation factors.” *Ceres Marine Terminals, Inc.*, 1997 WL 35281266, at *31.

Here, the ALJ based its decision that PETW could not demonstrate that the Port Authority’s leasing decisions were the proximate cause of PETW’s injuries on the competent evidence submitted, which showed that:

- PETW's financial troubles began long before the Port Authority asked PETW to move out of any of the warehouses, which PETW claims was the cause of its injuries. (Initial Decision at 32).
- PETW was in arrears as of August 2014, when it failed to pay its monthly rent obligations under the PETW Agreement. (Initial Decision at p. 10, RX 365-367, RX 696).
- PETW moved out of the warehouse at 1400 Aruba Street in December 2014. (Initial Decision at p. 14, 32, 37, RX 59-60, RX 69-70).
- The evidence shows that the 1400 Aruba Street warehouse was the first warehouse that PETW vacated (Initial Decision at p. 32).
- PETW's lease for 194 and 199 Panama Street ended on October 12, 2012, and the lease for 191 Export Street ended on July 31, 2013, but the Port Authority allowed PETW to occupy these warehouses as a holdover until March 31, 2015. (Initial Decision at p. 38, RX 346-47, RX 353, RX 506, RX 645, RX 697).
- PETW vacated the building at 292 Marlin Street on its own initiative after giving the Port Authority 30 days' written notice of its intent to terminate the month-to-month letting for this building. (RX 686).
- The first warehouse that PETW vacated was in December 2014 (1400 Aruba) and the majority of the other warehouses (194 and 199 Panama Street and 191 Export Street), "which is after PETW fell into arrears with rental payments to the Port Authority." (Initial Decision at p. 38).
- Mr. Wynne wrote to the Port Authority in 2017 admitting that "a good deal of the financial challenges that PETW was facing were caused by Superstorm Sandy, the bad winters, and resulting congestion which dropped productivity and increased costs and chased some customers from using the port." (Initial Decision at p. 38, RX 327).
- "Mr. Wynne also pointed to 2M, a joint service of MSC and Maersk, which created tremendous congestion and inefficiency in the port at the same time we [PETW] were in the process of relocating." (Initial Decision at p. 38, RX 329).

The foregoing evidence demonstrates that PETW's financial hardships and its alleged prejudice or disadvantage were not caused by the Port Authority. As such, the ALJ was correct in finding that "[t]here is not sufficient evidence to determine that the resulting prejudice or disadvantage, if there was any from the Port Authority's leasing decisions, was the proximate

cause of injury to PETW.” (Initial Decision at p. 38). Accordingly, the Port Authority submits that PETW cannot meet its burden of proof of showing that the Port Authority’s unreasonable preference or prejudice caused or contributed to PETW’s claimed damages.

In the event the Commission finds that the Port Authority gave any undue or unreasonable preference or advantage to other entities or that it imposed any undue or unreasonable prejudice or disadvantage upon PETW, the only remedy that PETW would be entitled to is a cease and desist order pursuant to the April 17, 2018 Decision. (RX 1134, RX 1148).

Point V

PETW’s argument that its claims are timely is irrelevant for purposes of this appeal.

In point D of its appeal, PETW contends that its claims are timely, but fails to mention which claims it is referring to. (Appeal at p. 28-32). Based on the procedural history of this case, the Port Authority will assume that PETW is referring to its claim for reparations. If that is the case, then the Commission should not consider the merits of PETW’s argument because the claim for reparations was dismissed with prejudice due to PETW’s failure to commence this action within the three-year statute of limitations. (Initial Decision at p. 2, RX 1133-1144, RX 1148).

In addition, the Commission should not consider the merits of any arguments raised by PETW relating to the Port Authority’s alleged unreasonable refusal to deal or negotiate with PETW or for failing to establish, observe, and enforce just and reasonable regulations and practices because these two causes of action were also dismissed with prejudice pursuant to the April 17, 2018 Decision. (Initial Decision at p. 2, RX 1144-1148). Moreover, the dismissal with prejudice of these three claims are the subject of an appeal that PETW filed, but has yet to be decided by the Commission.

In sum, the Commission should not consider the merits of PETW's arguments concerning: (1) the Port Authority's alleged unreasonable refusal to deal or negotiate with PETW, (2) the Port Authority's failure to establish, observe, and enforce just and reasonable regulations and practices; or, (3) PETW's claims for reparations because these three claims were dismissed with prejudice and are the subject of an appeal that has yet to be decided by the Commission.

In the event the Commission is inclined to consider the merits of any of these arguments, the Port Authority incorporates by reference all the briefs, pleadings, and supporting documents that it submitted on these issues in its January 12, 2018 motion to partially dismiss PETW's complaint and its May 30, 2018 reply to PETW's exceptions to and appeal of the April 17, 2018 Decision.

Point VI

PETW's request for an adverse inference is without merit.

In page 32 of its appeal, PETW requests that an adverse inference be taken against the Port Authority due to its refusal to provide basic discovery. This request was previously denied by the ALJ who correctly found that "[a]n adverse inference is not appropriate for documents for which a motion to compel was not filed and that were never ordered to be produced." (Initial Decision at p. 4).

When the parties are unable to resolve a discovery dispute, a party may file a motion to compel the opposing party to produce evidence or respond to interrogatories." *United States v. Kellogg Brown & Root Servs., Inc.*, 284 F.R.D. 22, 27 (D.D.C. 2012). However, "[u]nder Federal Rule 37, a party may move for an order compelling disclosure or discovery only after the movant has in good faith conferred or attempted to confer with the person or party. *Id.* (quoting Fed. R. Civ. P. 37(a)(1) (internal quotation marks omitted)). "Courts have held that conferring with the

opposing party is a prerequisite to any successful Rule 37 motion to compel.” *Id.* (citing *U.S. ex rel. Pogue v. Diabetes Treatment Centers of America, Inc.*, 235 F.R.D. 521, 529-30 (D.D.C. 2006) (denying motion to compel for failure to meet and confer prior to filing)).

Conversely, “[w]hen the opposing party has answered the movant’s interrogatories, the party moving to compel discovery has the burden of showing that the opposing party’s responses are incomplete.” *Id.* (citing *Guantanamera Cigar Co. v. Corporation Habanos, S.A.*, 263 F.R.D. 1, 7 (D.D.C. 2009)). If the motion seeking discovery is granted, “Rule 37 provides for sanctions after there has been a failure to comply with some order of the court.” *S.E.C. v. Thomas*, 116 F.R.D. 230, 233 (D. Utah 1987).

In this matter, PETW never filed a motion to compel and/or obtained an order compelling the Port Authority to produce the documents in question. As such, for this reason alone, the Commission should affirm the ALJ’s decision denying PETW’s request for an adverse inference.

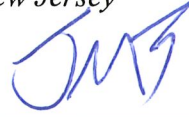
In addition, and contrary to PETW’s claims, the Port Authority did provide responses to PETW’s request for production of documents, which included 297 pages of documents, which were responsive to PETW’s February 26, 2018 request. (RX 1300-1308). At no time following the Port Authority’s service of its responses did PETW object to same, indicate that they were deficient in any manner, or file a motion compelling discovery. Accordingly, PETW’s request for an adverse inference should be denied.

Conclusion

The Port Authority respectfully requests that the Commission affirm the Initial Decision because the ALJ was correct in finding that the evidence does not demonstrate that the Port Authority gave any undue or unreasonable preference or advantage to other entities nor does the

evidence demonstrate that the Port Authority imposed any undue or unreasonable prejudice or disadvantage on PETW.

PORT AUTHORITY LAW DEPARTMENT
*Attorneys for The Port Authority of New York
and New Jersey*

By: 

Juan M. Barragan

Dated: May 8, 2019

BEFORE THE
FEDERAL MARITIME COMMISSION

Docket No. 17-07

PORT ELIZABETH TERMINAL & WAREHOUSE CORP.
COMPLAINANT

v.

THE PORT AUTHORITY OF NEW YORK AND NEW JERSEY
RESPONDENT

AFFIDAVIT OF SERVICE

Alexandra L. Priest, being duly sworn, deposes and says:

That I am a secretary in The Port Authority of New York and New Jersey Law Department and am over the age of eighteen (18) years, am not a party to this action and have an office address at 4 World Trade Center, 150 Greenwich Street, 24th Floor, New York, New York 10007.

That on the 8th day of May, 2019 I served the annexed **RESPONDENT'S BRIEF IN REPLY TO COMPLAINANT'S APPEAL OF THE MARCH 25, 2019 INITIAL DECISION OF THE HONORABLE ERIN M. WIRTH, A.L.J.** upon:

Donald F. Burke, Esq.
Law Office of Donald F. Burke
45 Gale Road
Brick, New Jersey 08723

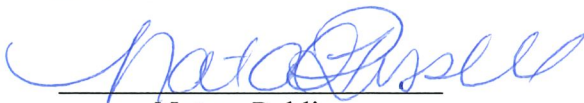
Paul M. Donovan, Esq.
LaRoe, Winn, Moerman & Donovan
1250 Connecticut Avenue N.W., Suite 700
Washington, D.C. 20036

by depositing a true copy thereof in a sealed wrapper, in a depository maintained by Federal Express to be shipped via Federal Express Overnight Service at 4 World Trade Center, 150 Greenwich Street, 24th Floor, New York, New York 10007.



Alexandra L. Priest

Sworn to before me this
8th day of May, 2019



Natalie D. Russell
Notary Public

Natalie D. Russell
NOTARY PUBLIC, State of New York
No. 01RU6358214
Qualified in New York County
Commission Expires May 8, 2021